

capital at shorter time frequencies to sustain the growth momentum.

The Indian Banks' Association estimates that the collective capital requirement of public sector banks (PSBs) alone is likely to be around Rs 1.5 lakh crore over the next two years. The total capital requirement for the banking system, thus, may be over Rs 2 lakh crore. This high requirement for capital is driven by:

- High business growth; the credit flow from the banking system is expected to grow at more than 20 per cent.

- Growth in risk-weighted assets exceeding internal capital generation.

- Aspirations of many banks to compete in the global arena.

- Structural issues like the liquidity reserve requirement, which, in the case of Indian banks is 32.5 per cent. Regulation is a bottleneck as incremental resources flow into the reserve requirements, rather than being put to productive use through growth in credit.

- Higher provisioning for standard assets. For example, for housing loans of over Rs 25 lakh, the risk weight has been increased from 75 per cent to 125 per cent.

- Implementation of Basel II norms means additional capital to cover operational risk under Pillar I and Residual risk under Pillar II.

- Incremental capital requirements of subsidiaries, particularly, insurance subsidiaries.

- In the case of large PSBs, higher provisioning for retiral benefits that include gratuity and pension.

The capital requirement figures are staggering compared to the capital these banks have raised in the past. Given the requirements, there is also the likelihood of banks overcrowding the capital markets with public offers. This is likely to impact the resource raising capacity, in particular, of the weak banks. This, we believe, may be the single-most critical driver for consolidation in the banking system. In many ways, the year ahead may well be the year of

forced mergers. The weaker banks, in order to attract capital and sustain growth, may have to undertake rapid restructuring across their operating models, asset portfolios, technology architectures, as well as development of human resources.

As the market for hybrid instruments is not well developed, equity instruments will be the preferred route for banks to raise capital. Indian banks may have to take a cue from their Chinese counterparts—which have raised \$37 billion (Rs 1.48 lakh crore) of capital over the past two years—to actively tap the global markets to raise resources. The success of Indian banks in raising capital from the global markets is expected to be driven by the larger Indian growth story and may potentially require a structural change in the shareholding pattern.

CONVERGENCE IN FINANCIAL SERVICES

The expected deregulation in the financial services landscape after 2009, the high valuations in the capital markets, and high growth rates in retail financing and product distribution have attracted a number of players, both global and domestic. The new entrants are taking the non-banking finance company route to create financial services. With redefined business models, these players are likely to shape the future of financial services and banking. With segmented customer models, wide distribution reach, lean operating structures, and a targeted set of product propositions—funded by capital raised through private equity—the new players are targeting new pockets of profitable and affluent customers. Traditional banks are being severely challenged in attracting and retaining these customers.

Banks that are unable to reorient themselves and attract and retain profitable customers are likely to see their returns on assets (ROA) under pressure, despite growth in business.

HOW WE RANK THE BANK

The survey methodology was modified this year. For instance, the banks were grouped on the size of their balance sheets and their performance over the last four years was gauged in addition to an analysis of the last financial year's performance.

The Data

The data for the study was based on the published annual reports of banks and RBI reports.

The Universe

The rankings cover 77 scheduled commercial banks that had provided their annual reports at the time the study was conducted.

The Process

The banks were grouped into four sets based on their balance sheet size and number of branches in order to create a comparable pool. Each set has been ranked independently.

- Set A: 35 banks with balance sheet (b/s) size > Rs 24,000 crore

- Set B: 19 banks with b/s size <= Rs 24,000 crore and branches > 10

- Set C1: 9 banks with b/s size >= Rs 3,000 crore and branches <= 10

- Set C2: 14 banks with b/s size < Rs 3,000 crore and branches <= 10

Rank

The composite rank for each bank was arrived at by combining its ranks on each of the 26 parameters, using a weight for each parameter. To compute a bank's total score, it was assigned a score for each of the parameters, based on its ranks on the parameter. For example, a bank in 'Set A' with a rank of 1 earned a score of 35 (as there are 35 banks in the set), a rank of 2 earned a score of 34 and so on, down to the rank of 35, which earned a score of 1. The score under each parameter was then multiplied by the weightage assigned to that parameter. The results were aggregated to compute each bank's total score.